

analysts expected \$0.25 per share, Jack would deliver \$0.26 no matter the state of business or the economy. He'd do that by massaging the numbers—that description is charitable—often pulling gains from future quarters into the current quarter to make the obedient numbers salute their master.

Forbes reported one of dozens of examples: “[General Electric] for two years in a row ‘sold’ locomotives to unnamed financial partners instead of end users in transactions that left most of the risks of ownership with GE.”⁵²

Welch never denied this game. He wrote in his book *Straight From the Gut*:

The response of our business leaders to the crises was typical of the GE culture. Even though the books had closed on the quarter, many immediately offered to pitch in to cover the [earnings] gap. Some said they could find an extra \$10 million, \$20 million, and even \$30 million from their business to offset the surprise.

The result was that under Welch's leadership, stockholders didn't have to pay the price. They got consistency and predictability—a stock that surged year after year without the surprises of uncertainty. Then the bill came due, like it always does. GE shareholders have suffered through a decade of mammoth losses that were previously shielded by accounting maneuvers. The penny gains of Welch's era became dime losses today.

The strangest example of this comes from failed mortgage giants Freddie Mac and Fannie Mae, which in the early 2000s were caught *under-reporting* current earnings by billions of dollars with the intention of spreading those gains out over future periods to give investors the illusion of smoothness and predictability.⁵³ The illusion of not having to pay the price.

The question is: Why do so many people who are willing to pay the price of cars, houses, food, and vacations try so hard to avoid paying the price of good investment returns?

The answer is simple: The price of investing success is not immediately obvious. It's not a price tag you can see, so when the bill comes due it doesn't feel like a fee for getting something good. It feels like a fine for